CHAPTER 3

# RECONSTITUTION RETIREMENT AND DEATH

**CHAPTER ESSENCE AT A GLANCE:**
Determine gaining ratios, revalue assets, settle retiring partner dues via cash and loan accounts, and compute deceased partner interim profit share under time and turnover methods.

## 4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Gaining Ratio Determination:** Continuing partners absorb the departed partner profit share, calculated as New Profit Share minus Old Profit Share, used to compensate departing goodwill.

• **Goodwill Adjustment Upon Retirement:** Retiring or deceased partner share of goodwill is credited to their capital account and debited to continuing partners in their gaining ratio without opening goodwill account.

• **Settlement via Loan Account:** Unpaid amounts due to a retiring partner are transferred to Retiring Partner Loan Account, bearing interest at 6 percent per annum or agreed rate.

• **Deceased Partner Interim Profits:** Interim profit up to date of death is calculated on time basis (apportioning prior profit) or turnover basis (applying prior profit percentage to current sales).

## ESSENTIAL ACCOUNTING PRINCIPLES & FINANCIAL FORMATS

$$\text{Gaining Ratio} = \text{New Profit Share} - \text{Old Profit Share}$$

*Continuing Partners Gaining Ratio Formula*

$$\text{Interim Profit (Time Basis)} = \text{Average Prior Profit} \times \frac{\text{Days to Death}}{365} \times \text{Deceased Share}$$

*Accrued Interim Profit Allocation by Time*

$$\text{Interim Profit (Turnover Basis)} = \frac{\text{Prior Year Net Profit}}{\text{Prior Year Total Sales}} \times \text{Sales to Date} \times \text{Deceased Share}$$

*Accrued Interim Profit by Sales Turnover*

$$\text{Section 37 Settlement Option} = \max(6\% \text{ Interest p.a. on Unpaid Due, Profit Earned Using Dues})$$

*Indian Partnership Act 1932 Section 37 Claim*

## CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** When the new profit sharing ratio among continuing partners is not given, their gaining ratio is simply their old profit sharing ratio among themselves.

• **Alert:** Interim profit paid to a deceased partner before year-end is debited to Profit and Loss Suspense Account, not to Profit and Loss Account.

• **Alert:** Under Section 37 of the Partnership Act, if dues are not settled, the retiring partner or executor can choose either 6 percent interest per annum or the profits earned using their unpaid capital.

## HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

**1. What is Gaining Ratio? State its primary application on retirement of a partner. [Score: 2 Marks]**

**Answer & Key Valuation Steps:**

• **Definition:** The ratio in which continuing partners acquire the outgoing retiring or deceased partner's share of profits (New Share minus Old Share). **[1 Mark]**

• **Application:** Used to debit continuing partners' capital accounts to compensate the retiring partner for their share of goodwill. **[1 Mark]**

**2. State the provisions of Section 37 of the Indian Partnership Act 1932 applicable to an unsettled retiring partner balance. [Score: 2 Marks]**

**Answer & Key Valuation Steps:**

• **Option 1:** The retiring partner or their legal representative is entitled to interest at 6 percent per annum on the unpaid balance from the date of retirement to actual payment. **[1 Mark]**

• **Option 2:** Alternatively, they can claim such share of subsequent profits as may be attributable to the use of their unpaid capital in the business. **[1 Mark]**

**3. Explain the accounting entry for adjusting Goodwill on retirement of a partner without opening a Goodwill Account. [Score: 3 Marks]**

**Answer & Key Valuation Steps:**

• **Calculation:** Determine total firm goodwill and compute Retiring Partner's Share of Goodwill = Total Goodwill * Retiring Partner's Profit Share. **[1 Mark]**

• **Gaining Ratio Apportionment:** Debit Continuing Partners' Capital Accounts in their Gaining Ratio. **[1 Mark]**

• **Retiring Partner Credit:** Credit Retiring Partner's Capital Account with their full share of goodwill. **[1 Mark]**

**4. A, B, and C are partners sharing in the ratio of 5:3:2. B retires and his share is taken up by A and C in the ratio 2:1. Calculate the New Profit Sharing Ratio and Gaining Ratio. [Score: 3 Marks]**

**Answer & Key Valuation Steps:**

• **B's Share:** (3 divided by 10). Taken by A = ((3 divided by 10)) * (2 divided by 3) = (2 divided by 10); Taken by C = ((3 divided by 10)) * (1 divided by 3) = (1 divided by 10). **[1 Mark]**

• **New Shares:** A's new share = Old ((5 divided by 10)) + Gained ((2 divided by 10)) = (7 divided by 10). C's new share = Old ((2 divided by 10)) + Gained ((1 divided by 10)) = (3 divided by 10). **[1 Mark]**

• **Ratios:** New Profit Sharing Ratio = 7:3. Gaining Ratio = 2:1 (as given by the proportion taken). **[1 Mark]**

**5. Pass journal entries for the settlement of dues of retiring partner Suresh amounting to Rs 80,000 when: (a) Paid fully in cash, (b) Rs 20,000 paid in cash and balance transferred to his loan account. [Score: 3 Marks]**

**Answer & Key Valuation Steps:**

• **(a) Full Cash Payment:** Debit Suresh Capital Account Rs 80,000 and Credit Bank $\frac{A}{c}$ Rs 80,000. **[1.5 Marks]**

• **(b) Part Cash and Loan:** Debit Suresh Capital Account Rs 80,000, Credit Bank $\frac{A}{c}$ Rs 20,000, and Credit Suresh Loan $\frac{A}{c}$ Rs 60,000. **[1.5 Marks]**

**6. X, Y, and Z were partners sharing in 2:2:1. Y died on 30th June 2023. Accounts are closed on 31st March every year. Sales for 2022-23 were Rs 6,00,000 and net profit was Rs 60,000. Sales from 1st April 2023 to 30th June 2023 were Rs 1,50,000. Calculate Y's share of profit up to date of death using turnover basis. [Score: 3 Marks]**

**Answer & Key Valuation Steps:**

• **Profit to Sales Ratio:** (Net Profit Rs 60,000 divided by Sales Rs 6,00,000) * 100 = 10 percent. **[1 Mark]**

• **Estimated Interim Profit:** 10 percent on current sales of Rs 1,50,000 = Rs 15,000. **[1 Mark]**

• **Y's Share:** Y's share (2 divided by 5) = Rs 15,000 * (2 divided by 5) = Rs 6,000 (debited to Profit and Loss Suspense $\frac{A}{c}$). **[1 Mark]**

**7. D, E, and F are partners in 3:2:1. E retires on 31st March 2024. On this date, firm goodwill is valued at Rs 60,000. General Reserve in balance sheet is Rs 30,000. Revaluation profit is Rs 12,000. E's capital before adjustments was Rs 50,000. Calculate the total amount payable to E and pass the goodwill adjustment journal entry.** **[Score: 4 Marks]**

**Answer & Key Valuation Steps:**

• **E's Entitlements:** Capital balance Rs 50,000 + Share of Reserve ($\frac{2}{6}$ of Rs 30,000 = Rs 10,000) + Share of Revaluation Profit ($\frac{2}{6}$ of Rs 12,000 = Rs 4,000) + Share of Goodwill ($\frac{2}{6}$ of Rs 60,000 = Rs 20,000). Total payable to E = Rs 84,000. **[2 Marks]**

• **Gaining Ratio:** D and F gain in old ratio 3:1. **[0.5 Mark]**

• **Goodwill Journal Entry:** Debit D Capital Account Rs 15,000 ($\frac{3}{4}$ of Rs 20,000), Debit F Capital Account Rs 5,000 ($\frac{1}{4}$ of Rs 20,000), and Credit E Capital Account Rs 20,000. **[1.5 Marks]**